Greggs plc: Using App Data to Bake Smarter

Mid-term note – The Strategy of Digital Transformation – 30 October 2026

Introduction

Greggs is a UK-based company that sells food, and it has around 2,700 branches (Greggs plc, 2026). Its profit went down by about 4% (Greggs plc, 2026), and the cost of hiring staff also went up (HM Treasury, 2024). The shops do not bake based on customer demand; they rely on their own guesses, which leads to leftover food. Using the information from everyday orders on the app, Greggs can predict what to bake. I chose Greggs because I buy from it myself: there is a shop close to my university, and I find it reliable.

1. Value opportunities

Economic: Consumers have less disposable income, so they buy lower-priced products. This means Greggs cannot simply raise its prices to cover higher staff costs (HM Treasury, 2024), because it would lose customers. Near my university, I could also buy low-cost food at McDonald's or Subway. This shows that customers can easily go somewhere else, so Greggs has to keep its prices low (Porter, 2008).

Social: When customers order through the Greggs app, Greggs retains more of the revenue. When they order through delivery apps like Uber Eats, part of the revenue goes to the app, so Greggs loses margin (Greggs plc, 2026). Greggs cannot simply leave these apps, because many customers open Uber Eats first and choose from many restaurants, so Greggs needs to be there or it loses those customers. This gives the delivery apps bargaining power over Greggs (Porter, 2008). Evening is also Greggs' fastest-growing time of day, at 9.4% of sales in 2025 (Greggs plc, 2026). Students studying late and employees finishing work or late shifts want low-cost food in the evening. This means shops need to bake different food at night, such as pizza instead of breakfast items, which is difficult to predict accurately by guessing.

Environmental: Leftover food causes Greggs to incur losses, because that food could have been sold for a profit. Greggs already sells some leftover food at a discount through the Too Good To Go app (Grocery Gazette, 2025). This helps, but Greggs earns much less than it would by selling the food at full price. It would be better not to bake too much in the first place.

2. How the business model will change

Greggs offers customers low-cost food in shops that are close by and reliable (value creation, C1 in Figure 2). However, each shop still guesses how much to bake (value configuration, C2). Greggs generates revenue by selling large volumes of low-priced items to a broad customer base (value capture, C3; Greggs plc, 2026).

When I searched for Greggs on Google on 30 October 2026, the "Order online" page offered delivery through Uber Eats, Just Eat and greggs.com, and Uber Eats showed a service fee of 5–15% (Figure 1). When I chose pickup, only Uber Eats and Just Eat appeared; Greggs' own app was not offered. This means that even customers who collect their food themselves may order through these apps.

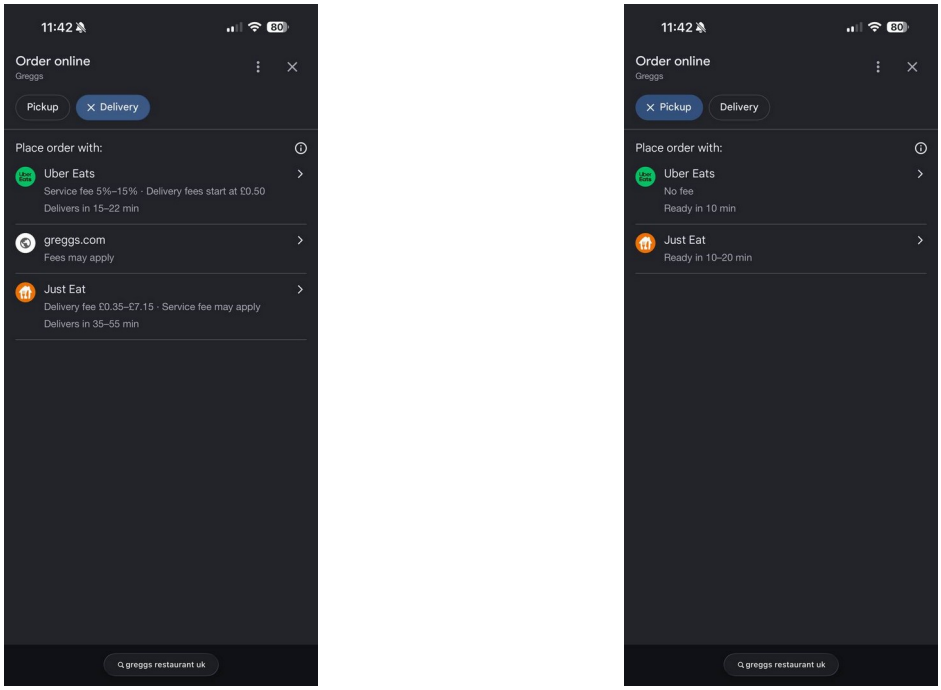


Figure 1: Google "Order online" options for Greggs, delivery (left) and pickup (right) (my own screenshots, 30 October 2026)

Using the information from everyday orders on the app, Greggs can predict what to bake (P2), which will also help it plan how many staff it needs.

With this plan, customers would find their favourite items sold out less often, and they could avoid queues by ordering ahead in the app (new value creation, P1). This matters to me: once at lunchtime, the item I wanted was sold out, so I left and went to Subway, and Greggs lost that sale. However, when I asked a friend whether they had ever found their food sold out at Greggs or seen lots left at closing, they said no. This suggests the problem may be less visible to customers than to Greggs, which sees the cost of waste in its own figures. With the new plan, Greggs would throw away less food and would not pay Uber Eats commission on orders made in its own app (new value capture, P3). This links value creation to value capture, as a strategy should (Collis, 2021).

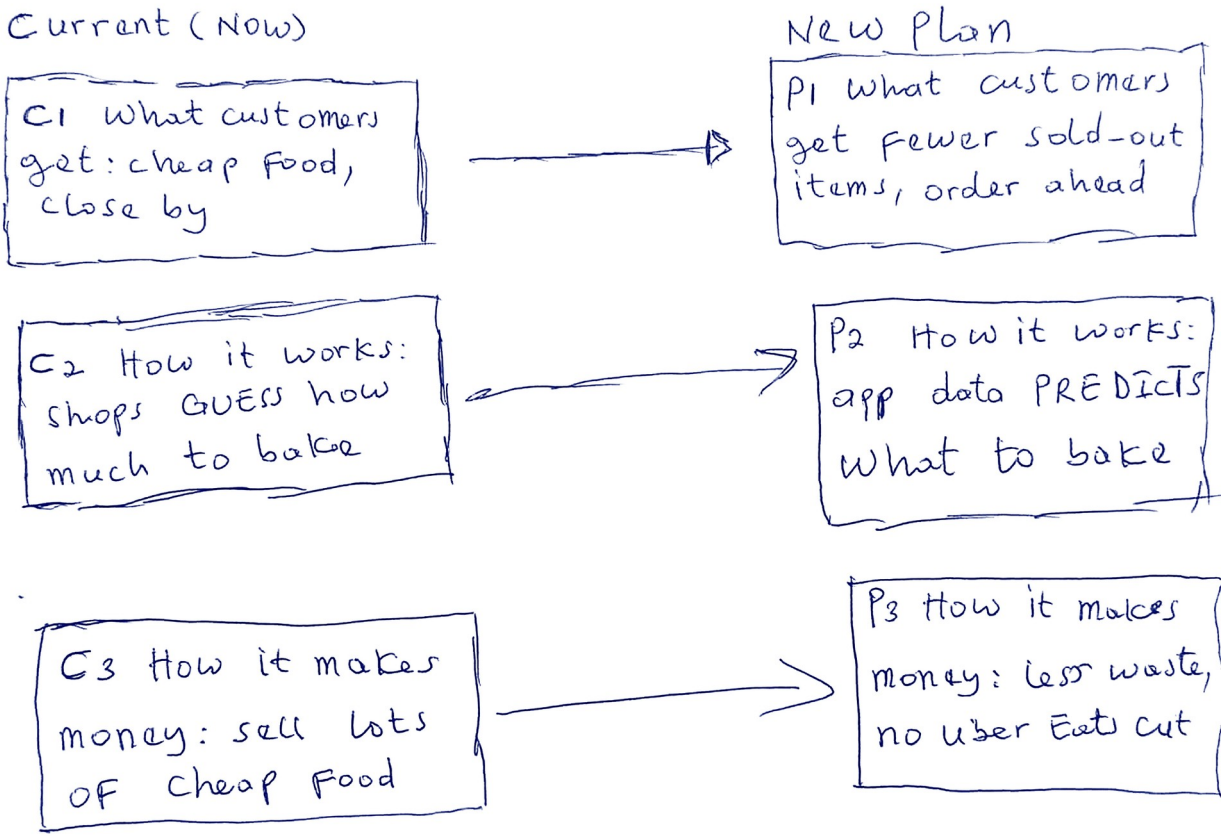


Figure 2: Current versus proposed Greggs business model (my own hand drawing)

3. Competitive advantage

Greggs has a hybrid competitive advantage: it is lower-priced than rivals such as Subway, but it also offers something distinctive, like its famous sausage roll (Whittington et al., 2024). The danger is that Greggs could end up 'stuck in the middle', neither the lowest-priced nor the most distinctive, and lose customers to both sides (Whittington et al., 2024). My plan helps it avoid this. Less food waste and not paying Uber Eats commission reduce Greggs' costs, which helps it keep prices low. Fewer sold-out items and avoiding queues by ordering ahead increase customer satisfaction, which makes Greggs more distinctive. Rivals such as Tesco could also build an app, so the app alone is not a source of advantage. What they cannot easily copy is that Greggs has its own bakeries and distribution network, so it can use app data to change what is baked and delivered to each shop (Porter, 1996).

4. Challenges

About 70% of digital transformations fail to meet their goals (McKinsey, 2025, cited in Curchod, 2026d).

Staff: Shop managers may resist the new system. Some may be confused because nobody has trained them to use it, and others may be scared that a computer will replace them. The lecture calls this ground-level resistance, caused by a lack of understanding or by fear (Curchod, 2026a).

Leaders: Greggs' leaders may see the app as merely a marketing tool for discounts, not as something that should change how the company bakes. The lecture calls this bounded rationality (Curchod, 2026a). Financial resources are also limited: Greggs spent £287.5 million on investment in 2025 while its profit fell (Greggs plc, 2026), so leaders may prefer to wait.

Company habits: Greggs has had record sales doing things its own way, so staff and managers may question why it should change. This is a competency trap, as happened to Nokia (Leonard-Barton, 1992). For Greggs, the risk is real: it became successful through head-office control and

the same recipes in every shop, and that same control could make it slow to let app data change how each shop bakes.

5. Overcoming the challenges

Fixing staff resistance: Greggs should train shop managers to use the new system, so they are not confused. The computer should only suggest how much to bake, while the manager still makes the final decision, so staff are not scared of being replaced. This also covers a weakness in my own plan: the AI forecast may be inaccurate on unusual days, such as a sudden storm or a football match, so shops could still run out of food. Because the manager makes the final decision, they can change the bake on those days.

Fixing the leaders' challenge: Greggs should set up a small separate team for this project, so the rest of the business keeps running normally. This is called ambidexterity (O'Reilly and Tushman, 2004). The team should first test the system in about 50 shops. If it works, leaders will have proof before spending more. Leaders who are concerned about costs are more likely to trust real results, such as less waste and more sales, than a promise. Building this habit of testing new ideas creates dynamic capabilities (Teece, 2007).

The agile model: Today, Greggs is at level 2 of the agile maturity model, 'competitive and market orientation', because it focuses on beating rivals on price. It should aim for level 3, 'customer orientation', using app data to build around what customers want, with agile working only for the app project (Curchod, 2026b). *Processes and routines:* The small test team tries the system in a few shops, learns from it and improves it. *Skills and employee development:* Shop managers are trained, and Greggs hires data and AI experts. *Communication and transparency:* Because most shop staff do not sit at a computer, Greggs shares the test results through a staff app on their phones, as IKEA did.

National culture: The UK has its own digital ecosystem, and customers already use Uber Eats and Just Eat (Curchod, 2026c). Greggs should keep these partners but give customers a reason, such as app-only deals and rewards, to order more through its own app.

Conclusion

Greggs should use the information from app orders to decide what each shop bakes. This would mean less food wasted, and Greggs would retain more of its revenue instead of paying part of it to Uber Eats. To make the change work, Greggs should test it first in a few shops, with staff trained and involved.

Word count: 1391 words (excluding headings, figures, captions and reference list)

Reference list

Collis, D. (2021) 'Why do so many strategies fail?', *Harvard Business Review*, 99(4). Available at: https://hbr.org/2021/07/why-do-so-many-strategies-fail (Accessed: 30 October 2026).

Curchod, C. (2026a) 'The challenges ahead: potential obstacles to transformation and how to overcome them' [Lecture slides], *The Strategy of Digital Transformation*. University of Edinburgh Business School. Available at: Learn (Accessed: 30 October 2026).

Curchod, C. (2026b) 'Organizing for digital transformation: the agile organization' [Lecture slides], *The Strategy of Digital Transformation*. University of Edinburgh Business School. Available at: Learn (Accessed: 30 October 2026).

Curchod, C. (2026c) 'Beware national cultures: an exploration of the East vs. West digital ecosystems' [Lecture slides], *The Strategy of Digital Transformation*. University of Edinburgh Business School. Available at: Learn (Accessed: 30 October 2026).

Curchod, C. (2026d) 'Strategy starts with value opportunities: macro, industry and firm-level analysis in the digital age' [Lecture slides], *The Strategy of Digital Transformation*.

University of Edinburgh Business School. Available at: Learn (Accessed: 30 October 2026).

Greggs plc (2026) *Preliminary results for the 52 weeks ended 27 December 2025*. Newcastle upon Tyne: Greggs plc. Available at: https://assets.greggs.com/f/162306/x/e616871d6c/260303-greggs-2025-preliminary-results-final.pdf (Accessed: 30 October 2026).

Grocery Gazette (2025) 'Greggs saves 5m meals from waste with Too Good To Go', 30 April. Available at: https://www.grocerygazette.co.uk/2025/04/30/greggs-too-good-to-go/ (Accessed: 30 October 2026).

HM Treasury (2024) *Autumn Budget 2024* (HC 295). London: HM Treasury. Available at: https://www.gov.uk/government/publications/autumn-budget-2024 (Accessed: 30 October 2026).

Leonard-Barton, D. (1992) 'Core capabilities and core rigidities: a paradox in managing new product development', *Strategic Management Journal*, 13(S1), pp. 111–125. doi: 10.1002/smj.4250131009.

O'Reilly, C.A. and Tushman, M.L. (2004) 'The ambidextrous organization', *Harvard Business Review*, 82(4), pp. 74–81.

Porter, M.E. (1996) 'What is strategy?', *Harvard Business Review*, 74(6), pp. 61–78.

Porter, M.E. (2008) 'The five competitive forces that shape strategy', *Harvard Business Review*, 86(1), pp. 78–93.

Teece, D.J. (2007) 'Explicating dynamic capabilities: the nature and microfoundations of (sustainable) enterprise performance', *Strategic Management Journal*, 28(13), pp. 1319–1350. doi: 10.1002/smj.640.

Whittington, R., Regnér, P., Angwin, D., Johnson, G. and Scholes, K. (2024) *Fundamentals of strategy*. 6th edn. Harlow: Pearson.